in the form of preferred stock rather than bonds. Such an arrangement removes or minimizes the danger of extinction of the junior equity through default in bad times and thus permits the shoe-string common stockholder to maintain his position until prosperity returns. (But just because the preferred-stock contract benefits the common shareholder in this way, it is clearly disadvantageous to the preferred stockholder himself.)

We must not forget, however, the peculiar practical difficulty in the way of realizing the full amount of prospective gain in any one of the purchases. As we pointed out in the analogous case of convertible bonds, as soon as a substantial profit appears the holder is in a dilemma, because he can hold for a further gain only by risking that already accrued. Just as a convertible bond loses its distinctive advantages when the price rises to a point that carries it clearly outside of the straight investment class, so a shoe-string common-stock commitment is transformed into a more and more substantial commitment as the price continues to rise. In our Mohawk Rubber example the intelligent purchaser at 15 could not have expected to hold it beyond 100—even though its quotation did reach 250—because at 100, or before, the shares had lost the distinctive characteristics of a speculatively capitalized junior issue.